

Subject: Economics

Topic: Economy of Maharashtra

Chapter: 4

Class: 11th

Introduction:

- * The state of Maharashtra came into existence on **1st May 1960**.
- * As per Economic Survey of Maharashtra 2017-18, the state has been divided into **36 districts**
- * There is total **6** revenue divisions for administrative purpose.
- * The above divisions include cities such as Mumbai, Pune, Nasik, Aurangabad, Amaravati and Nagpur.

Important features of the economy of Maharashtra:

1) Population:

- Maharashtra is the **second largest** populated state in the country:
- The population of the state was 11.24 crores during 2011.

2) Size:

- Maharashtra is the **third largest state** in the country:
- This is in terms of geographical area measuring about 3.08 lac sq. kms.

3) Urbanization:

- It is the **most urbanized state**:
- 45.20% of its population lives in towns and cities.

4) Sex Ratio:

- According to 2011 census, the sex ratio of Maharashtra was **929 females per 1000 males**.

5) Literacy Rate:

- The state literacy rate was **82.3%** as per 2011 census.

6) Economic Growth:

- According to the Economic Survey of Maharashtra for 2016-17, the State had the highest growth of **GSDP** (Gross State Domestic Product) and State Per Capita Income (SPCI) in comparison with other states.

7) Varied Features:

- Maharashtra is the most favoured destination for creativity, skill development, investment and tourism.

8) Economical Features:

- The economy of Maharashtra is characterised by distinct features ○ These include:
 - i) abundant natural resources ii) availability of skilled manpower
 - iii) technological advancement iv) developed infrastructure.

Economic Development of Maharashtra:

The development of Maharashtra's economy is based on the contributions given by three major sectors. These include:

- **Agricultural Sector**
- **Industry**
- **Service sector**

Besides this, the fourth pillar is 'Co-operative Movement' of Maharashtra. A)

Agricultural sector:

- Agriculture and allied activities play an important role in the economic development of the state.
- The share of agriculture and allied activities in the total Gross State Value Added (GSVA) shows a declining trend over the period.

Problems faced by the Agricultural Sector:

The following are few general problems in the agricultural sector:

- Decrease in the average size of land holdings leads to low farm productivity.
- Increase in the number of small and marginal farmers.
- Excessive use of chemical fertilizers and pesticides, leading to soil degradation.
- Agricultural indebtedness.
- Poor implementation of land reforms and adverse crop pattern.
- Dry land and inadequate irrigation facilities.
- Lack of capital
- Improper implementation of rural development plans.
- Lack of marketing facilities
- Impact of climatic changes

Measures implemented by the Government of Maharashtra for its agricultural development:

- Distribution of quality seeds at reasonable rates.
- Increased number of outlets for fertilizer and pesticide distribution.
- Development of irrigation facilities.
- Electrification of agricultural pumps and efforts to provide 'electricity on demand'.
- Financial assistance as per requirements.
- Setting up of Agriculture Produce Marketing Committees (APMC).
- Establishment of agro export zones, horticultural training centres, grading and packing facilities for effective distribution.
- Creating awareness about agricultural information.
- This awareness is created through the use of mass media for making agriculture a profitmaking business. **B) Industry:**

- Maharashtra is an industrially advanced state.
- Industrial sector plays an important role in the economic development of the state.
- It has the potential to absorb excess labour from the farming sector.
- It leads to diversification of markets, generates higher incomes and higher productivity.
- As per Annual Survey of Industries (ASI) 2016- 17, the industrial sector of Maharashtra is at the top position.
- The share of industry in the Net Value Added (NVA) is about 18%.
- Maharashtra has also been the first choice of domestic and foreign investors.

Problems faced by the Industrial Sector:

The following are few general problems in the Industrial sector:

- Delays in government procedure
- Lack of opportunities for skill development.
- Lack of updated technology
- Lack of infrastructural facilities.
- Lack of motivation to new entrepreneurs.
- Lack of development programmes.
- Regional imbalance

Measures implemented by the Government of Maharashtra for its Industrial development:

- Single window cell was initiated to provide all clearances to the existing and prospective investors.
- Maharashtra Industry, Trade and Investment Facilitation Cell (**MAITRI**) was introduced to provide online consolidated information about the investment process.
- Awards for export performance, space rent subsidies are provided to small scale industries.
- Creation of Special Economic Zones (**SEZ**) to boost industrial growth.
- Maharashtra State Industrial Cluster Development Programme (**MSICDP**) is being implemented all over the state to develop small, medium and micro enterprises.

Foreign Direct Investment (FDI):

- In the early 1990s, the Government of India started amending the norms capping foreign direct investment in certain sectors.
- The **liberalisation act of 1991** cleared the path of FDI.
- Maharashtra has been consistently ranked as the number one investment destination in India.
- The State has remained in the forefront in terms of FDI inflow in the country. C) **Service**

Sector:

- This sector consists of insurance, tourism, retail banking, education and social services.
- Service sector includes provision of services to business as well as final consumers.
- It is the largest employment generating and fastest growing sector of the economy.

- The contribution of service sector to the Gross State Domestic Product (**GSDP**) has been the highest compared to the other sectors in the economy.
- The core areas for development of service sector include Fintech, IT/ITES, start-ups, cloud computing, electric vehicles, defence, tourism and private universities.
- Government has also tried to expand the service sector by various activities in **Tier II** cities.

Core Areas of Service Sector:

Infrastructure:

- Infrastructure is the basic requirement for economic development.
- A sound infrastructural foundation is the key to overall socio-economic development of the state.
- This acts as a magnet for attracting additional investment into the state.
- It provides a competitive edge to it over other states.
- Adequate infrastructural facilities are an absolute necessity for rapid achievement of sustainable economic growth.

Classification of Infrastructure:

- Economic Infrastructure: Energy, Transport, Communication
- Social Infrastructure: Health, Education

a) Economic Infrastructure:

- It facilitates production and distribution of goods and services for economic development.

Measures for development of economic infrastructure:

- Increasing installed capacity of electricity generation.
- Rural electrification, network improvement and programmes for energy conservation.
- Modified direct benefit transfer scheme to LPG consumers in the state.

- Road development plan (2001-2021) is being implemented in the state with a target to develop 3.37 lakh kms of road.
- **Metro Railway** has started at Mumbai and Nagpur.
- **Maharashtra Port Development Policy (MPDP)** was constituted for integrated development of ports.
- State government is promoting '**Sagarmala**' programme launched by the central government for port led development.

b) Social infrastructure:

- Social infrastructure is also one of the important components of the economy.
- This is because it improves the quality of human life as well as stimulates the economic development.
- It not only improves the quality but also gives the power to produce knowledge.
- It includes literacy programme, education, public health, housing, drinking water and sanitation.

Measures undertaken to develop Social Infrastructure:

i) Education:

- Education is considered as one of the basic human needs.
- It forms the backbone of socio-economic development of any country.
- Education is significant aspect of human resource development (**HRD**).
- In the present scenario, India is getting the advantage of highest demographic dividend due to maximum percentage of young population in the country.
- It has become 'a priority' at the national as well as state level.
- The state of Maharashtra has implemented various educational schemes to achieve the goal of education.
- There are four levels of education in our country.

1) Primary 2) Secondary & Higher Secondary 3) Higher education 4) Others

1) Primary education:

- The state of Maharashtra has implemented the Right to Education (RTE) of children in the age group **6-14 years**.

- This is to provide free and compulsory education under the Sarva Shiksha Abhiyan

(SSA).

2) Secondary and Higher Secondary Education:

- Rashtriya Madhyamik Shiksha Abhiyan (**RMSA**) was launched in **2009**.
- Its objective was to improve the access as well as the quality of secondary education.

3) Higher education:

- Besides universalization of primary education, the Government of Maharashtra is taking efforts to expand opportunities in higher education also.
- Higher education helps in creating technical and skilled human resources which is an important input necessary for overall economic development.
- There are 22 state universities, out of which 4 universities are for agriculture, one university for health science courses, one university for veterinary science, one for technology and 15 other universities for general courses.
- In addition to the above, there are 21 autonomous universities, one central university, 4 private universities and 5 institutes of national importance in the state.
- To meet the challenges of liberalization, privatization and globalization, the state enacted the new Maharashtra Public Universities Act, 2016.
- Key focus of the **MPU Act** is to promote academic autonomy and excellence, skillbased education through democratic process in higher education.

- Maharashtra is also the first state in the country to receive RUSA grant of **20 crores**.

- The above grant was made under Research and Innovation and Quality

Improvement for setting up innovation and technology transfer hubs.

- Rashtriya Uchchatar Shiksha Abhiyaan (**RUSA**) is a centrally sponsored scheme launched by the Government of India in **2013**.

4) Others:

1) Inclusive education:

- This is for differently abled children with special needs.

2) Girls' Education:

- Various schemes to promote girls' education have been introduced by the Government of Maharashtra.
- This includes free education till the higher secondary level, free of cost S.T. bus service for school going girls in rural areas, bicycles to needy girls living within 5 kms from schools

3) Adult Literacy:

- To increase adult literacy in the state, innovative schemes like '**Each one Teach one**', '**Sakshar Bharat Abhiyan**' are implemented with community participation.

4) Tribal Education:

- Government of Maharashtra has introduced residential Ashram Schools in the tribal areas of the state.
- Tribal students are provided accommodation, food, uniforms, educational materials and other concessions free of cost.
- There are 556 aided Ashram Schools in the state. Government hostel facility is provided at division, district and taluka levels to encourage tribal students to pursue higher studies.

ii) Health Services:

- There were 1814 primary health centres and 360 community health centres in the state as on 31st March 2017.
- Government of Maharashtra has emphasized on programmes to strengthen health system in rural and urban areas.
- This has been done through National Rural Health Mission (NRHM) and National Urban Health Mission (NUHM).
- These programmes include health determinants like sanitation and hygiene, nutrition and safe drinking water.
- The Government of Maharashtra has created a three-tier health infrastructure to provide comprehensive health services.
- Primary tier includes *Primary Health Centres* and *Community Health Centres*.
- The Secondary tier includes sub district hospitals and district hospitals.
- The tertiary tier includes well equipped medical colleges and super speciality hospitals located in major cities.

Co-operative Movement of Maharashtra:

- Co-operative Movement is an effective instrument in the economic development of rural areas
- It focuses on improving socio-economic conditions of the under- privileged in Maharashtra.
- The basic nature of co-operative societies is to encourage the values of self-help, democracy, equality and solidarity.
- This movement was confined mainly to the field of agricultural credit ○ However, subsequently, it was extended to other sectors as well.
- These sectors included:
 - Agro Processing
 - Agro Marketing
 - Sugar Co-Operatives
 - Fisheries
 - Co-Operative Societies